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Land Use Department

Courthouse Annex
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BOARD OF COUNTY COMMISSIONERS
AGENDA ITEM
Thursday, May 8, 2003 — 2:00 PM

Hearing Room, Third Floor, Boulder County Courthouse

PUBLIC HEARING

STAFF PLANNER: David Callahan

STAFF RECOMMENDATION RE:

Public Meeting

Request:	A request for a determination as to whether special use #SU-88-21 (Lyons Rubber Recycling Facility has lapsed as defined in Article 4-604 (C) of the Land Use Code.
Location:	CEMEX plant location: 1/4 mile south of Colorado Highway 66, 1 mile east of Highway 36, in Sections 21 and 28, T3N, R70W
Zoning:	General Industrial (GI)
Applicant:	Cemex / John Lohr, Lyons Cement Plant

PURPOSE:

The Sierra Club has sued Graham Billingsley, in his official capacity as the Director of Boulder County Land Use Department, and the Boulder County Board of Adjustment. The suit alleges that the Director and the Board of Adjustment exceeded their jurisdiction or abused their discretion by determining that special use permit #SU-88-21 has not lapsed. This request by Cemex seeks to expedite the resolution of this issue.

BACKGROUND:

In 1990, pursuant to Boulder County Land Use Docket #SU-88-21, the Board of County Commissioners (BOCC) approved a special use permit, under the Boulder County Zoning Resolution, for CEMEX's predecessor to burn recycled tires as an alternative fuel at its cement plant just east of Lyons. CEMEX's predecessor implemented the 1990 permit and burned tires pursuant to the permit for about three years in the early 1990s. CEMEX's predecessor stopped this use thereafter, though never declared to the Land Use Department any intent to abandon or

Paul Danish
County Commissioner

Ronald K. Stewart
County Commissioner

Tom Mayer
County Commissioner

permanently cease the use. The 1990 special use permit was of an unlimited duration and thus remained in effect.

In 1996, the BOCC passed amendments to the special use zoning regulations of the Land Use Code, providing for the lapse of special use permits if there is "no activity under any portion of the special use permit for a continuous period of five years or more ... ." This amendment was *not* made retroactive to pre-existing permits which applicants had in good faith activated or implemented. CEMEX's predecessor obtained and fulfilled its permit six years before the County adopted these special use "lapse" amendments.

Sometime in late August 2002, the Land Use Department became aware that CEMEX intended to conduct a test burn using recycled tires. Upon learning of this intent, the Director, Graham Billingsley, sent a letter, dated September 5, 2002 to John Lohr, Plant Manager requesting if there is an intent to continue the burning of tires as fuel, that CEMEX provide a detailed description of the burning operation, including quantities, transport, and storage of the tires to the Land Use Department. In that letter, the Director also stated the Department's position that the approved special use (burning of tires as fuel) had not lapsed in spite of the 1996 amendment to the Land Use Code, because CEMEX's predecessor finalized its permit and substantially commenced operations.

APPLICABLE REGULATIONS:
The following section of the Land Use Code establishes the lapse of a special use permit:

4-604 Limitation of Uses by Special Review

A. Subject to vested rights, no use by special review shall commence operation or construction later than five years from the date of the Board approval or conditional approval.
B. Any approved use by special review which does not significantly commence operation or construction on any portion of the special use permit within five calendar years after the use has received Board approval, shall lapse, and shall be of no further force and effect unless a new discretionary approval is granted under this Code. If a vesting period of longer than five years is expressly approved as part of the special use permit, the approval shall lapse if operation or construction is not commenced within the vesting period.
C. Any approved use by special review which commences operation or construction as required under Subsection (B), immediately above, shall lapse, and shall be of no further force and effect, if the use is inactive for any continuous five-year period. If this period of inactivity occurs, the use may not be recommenced without a new discretionary approval granted under this Code. An approved special use shall be deemed inactive under this Subsection (c) if there has been no activity under any portion of the special use permit for a continuous period of five years or more as a result of causes within the control of the special use permittee or agent.

REFERRALS:

Although not required by law, the Land Use Department sent a referral notice to all adjacent property owners (72) within 1,500 feet of the Cemex property line. Five owners responded with concerns and recommended that the permit be rescinded. One owner responded with no conflicts. All of the referrals are attached for your review.

DISCUSSION:

It is inappropriate to retroactively apply a provision of the Land Use Code that was activated or implemented under a permit approved prior to the lapse provision coming into effect with no notice to the permit holder that such use would or could be so lapsed. The County could have, as it has done in other amendments to the Land Use Code, applied the regulations to existing approvals, either through the amendment itself, or the resolution of approval. For example, when the County passed the site plan review lapse provision, we applied it to all unvested (no building permit applied for) site plan reviews with the three year lapse period starting the day of the regulation amendment, not the date of previously approved site plan reviews. Of course, none of the site plan review approvals had operations commenced under them. We did not take a similar course with the special use lapse provisions.

Also, regarding principles of construction under the Land Use Code, the following section from the Code is relevant.

> Article 1-900 Interpretations
>
> A. 4. It is presumed that the requirements of this Code apply to future actions unless otherwise stated.

Since 4-604 does not state that it applies to permits approved prior to its enactment, this rule of construction requires that we cannot apply the lapse provision retroactively to CEMEX.

Finally, Cemex has continuously taken action on various permits and pursued certain activities that show that the use has never been abandoned. Rather, the use has either been actively used, or there has never been "a continuous period of five years or more as a result of causes within the control of the special use permittee or agent" (since the lapse regulations were adopted) in which the use was inactive. A partial listing of these actions and activities include:

1. Recording a development agreement recognizing Docket # SU-88-21 with the Clerk and Recorder.
2. Submitting a toxicity analysis of kiln dust on Jan 8, 1990, Jan. 23, 1990, and March 8, 1990, all as required by Resolution 90-59.
3. Submitting annual reports through September 1993, inventorying tires burned through this period, again as required by Resolution 90-59.
4. Receiving a permit, issued on December 17, 1993, from the Colorado Department of Health to operate a kiln and to burn used tires as fuel.
5. Doing repairs in May of 1995 to the tire chute on the kiln.
6. Doing repairs in April of 1997 to the tire chute on the kiln.
7. Installing a new tire feed chute in January 2000.

8. Receiving a permit, issued on February 1, 2000, from the Colorado Department of Public Health and Environment to operate a kiln and to burn used tires as fuel.
9. Conducting a source emissions test between November 13, and November 22, of 2002, to determine the potential impact on human health between tire-derived fuel, and fossil fuels alone.

RECOMMENDATION:

Therefore, the staff recommends that the Board of County Commissioners determine that the use has not lapsed, under the Boulder County Land Use Code.

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